



Prepare 50% Faster

Study Notes

Economic Planning

www.ixamBee.com

Economic Planning

Economic planning refers to any plans of economic activity which point to achieve specific social and economic outcomes. The term economic planning is used to describe the long-term plans of the government of India to develop and coordinate the economy with efficient utilization of resources. The planning mechanism should have some general goals as well as specific objectives which are to be achieved within a specified period of time.

Types of economic planning

Indicative planning: It puts forward / indicates to some broad principles and guidelines to achieve some goals. Indicative planning is peculiar to the mixed economy of France. But this is quite different from the type of planning which exists in other mixed economies. By mixed economy, we mean simultaneous working of the public and private sector. It is the state which controlled the private sector in different ways, i.e., by quotas, price, licenses, etc. But under indicative planning, the private sector is not rigidly controlled to achieve the targets and priorities of the plan. The state gives full assistance to the private sector but does not control it. It, rather, directs the private sector in certain areas to implement the plan.

Comprehensive / Imperative Planning: It refers to centralized planning and implementation with the allocation of resources. It is used by socialist countries and each and every aspect of planning is controlled by the state. The resources are optimally used by the state in order to achieve the targets of the plan. Consumer sovereignty is sacrificed under this type of planning. The consumers get fixed quantities at fixed prices. The government policies are rigid which cannot be changed easily. Any change can adversely affect the economy.

Structural Planning: It aims to change the existing structures. In this type of planning the present social and economic structure is changed and a new structure emerges. In the developing countries, there is a structure planning. Big economic and social changes are brought about to usher into a new system. For instance, shift from capitalist to socialist economy can be called a structural change. Structural planning can help in accelerating the pace of economic development. The Communist countries like Russia and China followed structural planning.

Functional Planning: Under functional planning, there is no need to build up a new structure, rather the existing structure is corrected and modified. According to Zweig in his "The Planning of Free Societies" has stated "Functional planning will only repair, not build a new, it will improve the wave of the existing order, but not supersede it. It is a conservative, or rather evolutionary type of planning which will not overturn the existing structure and moves only within its narrow border". Thus, functional planning brings no change in the economic and social set up.

Centralized Planning: The framing, adopting, executing supervising, and controlling of the plan is done by central planning authority. Planning authority determines targets and priorities. It is the duty of the planning authority to bring harmony in the planning process. This type of planning comes from the top to the bottom. This plan determines equality and cohesion. The central planning authority which determines the basic policies in view of the regional and local needs.

Decentralized planning: It is multi-level planning in which more than one institution work for the implementation of the plan. Under this planning, the responsibility lies with local and regional

officials who take economic decisions about the plan. In other words, this planning starts from the grassroots. In other words, this type of planning is from bottom to top. Under this, plan is framed by the central planning authority by consulting different administrative units of the country.

Perspective Planning: It refers to the long-term planning of 15-20-25 years. It is implemented by breaking the plan period into smaller plans such as 5 years plans. But a perspective plan cannot mean one plan for the complete period. In a true sense, broader objectives are to be achieved in a fixed period by dividing the perspective plan into short-run plans of 4 to 6 years.

Objectives of Planning in India

Economic growth – Sustainable and continuous economic growth is the foremost objective of economic planning in India.

Poverty alleviation- Extreme poverty is still prevalent in India which undermines its path towards being a developed country. Hence poverty alleviation also is one of the most important objectives of planning in India.

Employment generation- Being world second most populous country and also the advantageous demographic dividend need sufficient employment generation for its youth.

Self-reliance- India still strives for self-reliance in every field of the economy along with serving the realities of WTO commitment.

Controlling and reducing economic inequality- Planning is used in India as a tool to check economic disparities and inequalities.

Modernization of economy- Being a colonized country for centuries, India needed rapid modernization of every sector of the economy. Economic planning is one tool to achieve the same.

Planning before Independence

First of all the idea of planned economy was crystallized in 1930s when our national leaders came under the influence of socialist philosophy. India's Five-year plans were very much impressed by the rapid strides achieved by the USSR through five years plans.

In 1934, **Sir M. Visvesvaraya** had published a book titled "Planned Economy in India", in which he presented a constructive draft of the development of India in the next ten years. His core idea was to lay out a plan to shift labour from agriculture to industries and double up National income in ten years. This was the first concrete scholarly work towards planning. The economic perspective of India's freedom movement was formulated during the thirties between the 1931 Karachi session of the Indian National Congress, 1936 Faizpur session of the India National Congress.

National Planning Committee: The first attempt to develop a national plan for India came up in 1938. In that year, Congress President Subhash Chandra Bose had set up a National Planning

Committee with Jawaharlal Nehru as its president. However, the reports of the committee could not be prepared, and only for the first time in 1948 -49 some papers came out.

Bombay Plan: In 1944 Eight Industrialists of Bombay viz. Mr. JRD Tata, GD Birla, Purshottamdas Thakurdas, Lala Shriram, Kasturbhai Lalbhai, AD Shroff, Ardeshir Dalal, & John Mathai working together prepared “A Brief Memorandum Outlining a Plan of Economic Development for India”. This is known as the “Bombay Plan”. This plan envisaged doubling the per capita income in 15 years and tripling the national income during this period. Nehru did not officially accept the plan, yet many of the ideas of the plan were inculcated in other plans which came later.

People’s Plan: People’s plan was drafted by MN Roy. This plan was for ten years period and gave the greatest priority to Agriculture. The nationalization of all agriculture and production was the main feature of this plan. This plan was based on Marxist socialism and drafted by M N Roy on behalf of the Indian federation of Lahore.

Gandhian Plan: This plan was drafted by Sriman Nayaran, principal of Wardha Commercial College. It emphasized the economic decentralization with primacy to rural development by developing the cottage industries.

Sarvodaya Plan: Sarvodaya Plan (1950) was drafted by Jaiprakash Narayan. This plan itself was inspired by Gandhian Plan and Sarvodaya Idea of Vinoba Bhave. This plan emphasized on agriculture and small & cottage industries. It also suggested freedom from foreign technology and stressed upon land reforms and decentralized participatory planning.

Planning and Development Department: In August 1944, The British Indian government set up the “Planning and Development Department” under the charge of Ardeshir Dalal. But this department was abolished in 1946.

Planning Advisory Board: In October 1946, a planning advisory board was set up by the Interim Government to review the plans and future projects and make recommendations upon them.

Planning Commission

- In March 1950 Planning Commission was set up as an extra constitutional body to take over the responsibility of economic planning in India.
- It was an autonomous and advisory body.
- However, with passing time it became so powerful that it even surpassed constitutional body Finance Commission in terms of importance in economic planning of the country. · Its role involved assessing the resources of the country and making a plan for the most effective and balanced utilization of the same.
- However, with Prime Minister as its chairman and other members and officials being nominated or appointed by Central government, it started to affect Centre-State relations adversely.
- As Planning Commission used to formulate Five Year Plans which drove the whole economic activities in the country, it also affected the Central allocation for resources to the states.

- Due to —monitorable targets for states, it used to have a strong influence over states' economic decision making.
- This turf ultimately resulted in winding up of Planning Commission on 1 January 2015 and NITI Aayog replaced it.

NITI Aayog

- Government of India has replaced the planning commission with NITI Aayog (National Institution for Transforming India) on 1 January 2015. It works under the chairmanship of Prime Minister.
- It provides a critical directional and strategic input into the development process. · It works more as a —think tank than a finance distributing agency. It provides Governments at the central and state levels with relevant strategic and technical advice across the spectrum of key elements of the policy.
- It works as a knowledge, innovation and entrepreneurial support system through a collaborative community of national and international experts.
- It is based on the 7 pillars of effective governance –
 - Pro-People
 - Pro-Activity
 - Participation
 - Empowering
 - Inclusion of all
 - Equality
 - Transparency.
- In this new institution the state governments have an equal role in nation's development process and NITI Aayog promises the principle of co-operative federalism. · It formulates national development strategy in a market economy integrated with the globalized world instead of Planning Commission's top-down approach.
- It doesn't any role in fund allocation.
- It functions in close cooperation, consultation and coordination with the Ministries of the Central Government and State governments. While it makes recommendations to the Central and State Governments, the responsibility for taking and implementing decisions will rest with them.



Composition of #NITIaayog

Chairperson

- Prime Minister

Governing Council

- CMs (States) and Lt Governors (UTs)

Regional Councils

- Formed on need-basis, comprising CMs and Lt Govs of the region

Members

- Full-time basis

Part-time Members

- Max 2, rotational, from relevant institutions

Ex-officio Members

- Max 4 from Council of Ministers, nominated by PM

Special Invitees

- Experts, specialists, practitioners with domain knowledge

Chief Executive Officer

- Appointed by PM for fixed tenure, Secy rank

Secretariat

- As deemed necessary

Source: PIB.NIC.IN